and Infrastructure Fund (NIIF) (2016). It would have been better to go to the root cause and make the bond market work.

Example 14: Addressing domestic distortions through trade barriers

Domestic market imperfections can hamper domestic firms when faced with international competition. This leads to demands for protectionism. But tariffs induce their own distortions. Bhagwati and Ramaswami offered a key insight into this. [3] They showed that it was better to go to the root cause: to address the domestic distortion. This old idea, from 1963, needs to be resurrected every year, when a different set of players comes up with a new demand for protectionism.

Criminal sanction

Less intrusive measures are better than more intrusive measures. How do we define intrusion? The biggest intrusions involve snooping on people in their homes, and sending uniformed personnel into homes. The most intrusive thing that a state can do is to put people in jail. We should be extremely careful before threatening criminal liabilities.

In economics, all that a person stands to gain from violating laws is unlawful profit. A penalty that is larger than the unlawful profit suffices to take away the incentive to violate a law. Criminal penalties in economic law should be viewed with great suspicion. Yet, we now have hundreds of criminal offences littering economic law.

We look back at the 1970s as a peak of the licence–permit raj, with an intrusive and powerful state apparatus. However, we now have more criminal offences in economic law when compared with the 1970s. We were supposed to have transitioned from Foreign Exchange Regulation Act